NEW OWN RESOURCES

FOR A STRONGER EUROPEAN UNION

Global Citizen

Global Redistribution Advocates

637
bn EUR borrowed

The EU responded collectively to the aftermath of the COVID-19 crisis with the NextGenerationEU plan. By raising funds jointly, Member States made it possible to secure more favourable borrowing terms. Working together paved the way for a common European response, strengthening the resilience and unity of the European Union.

2028
Start of servicing

Debt service will begin in 2028. The question of how this debt will be repaid will be at the heart of negotiations on the next Multiannual Financial Framework (2028-2034). These two milestones create a critical political window in which the commitment to European cooperation is to be reaffirmed.

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6 Ideas
for New Own Resources

The European Commission proposed six new own resources in its ORD proposal. We contribute to the forthcoming discussion by presenting genuinely new sources of revenue for the EU budget that are not a reallocation of existing national contributions. The six new own resources we propose will contribute to a fairer and more effective European fiscal framework by making the wealthiest contribute, by taxing documented harm, correcting the fairness of the fiscal framework and making it more efficient to align with the common good.

98 bn
for NORs

Building on the legacy of NextGenerationEU is not only about fiscal solidarity, it is also about carrying forward a common European project. Strong emphasis was put on the green transition and digital transformation, as well as support for future generations and social cohesion. To preserve this legacy, we propose to raise revenues from a reform of aviation taxes, an augmented European VAT on luxury, a one-off levy on millionaire wealth, a tax on financial transactions and a tax on digital services. Our estimations show that these measures would raise 98 bn EUR per year. Each proposal will be summed up below and detailed in following annexes.

One
Deal

Some Member States may consider certain measures to be against their immediate interests, while others may benefit more directly from them. The new own resources we propose are based on Article 311 TFEU. Their adoption requires unanimity, both at Council level and through ratification by every Member State. We present six ideas to help build consensus. They do not constitute a single package, but aim to help identify the right combination of instruments and prepare a deal acceptable to all Member States. With this in mind, both the rates and scope of the selected instruments could vary. Alternative options are also presented for several of the proposed resources.

50%
GNI-contribution share

Member States' GNI contributions still account for the largest share of the EU budget. It acts as an adjustment variable permitting the EU budget to balance. Discussions on the composition of the package must treat the GNI contribution on an equal footing with the other proposals, as one component among others in determining the collectively agreed mix. Of the 98 bn EUR in new own resources, we propose to allocate 24 bn to NGEU interest repayment, 14 bn to expand the EU budget, 30 bn to finance public goods and an EU sovereign fund and 30 bn to reduce GNI-contributions. These updated contributions would be 104 bn EUR and will account for 50% of the EU budget. A table below presents detailed contributions for each Member State for every tax proposition and under our scenarios and the status quo scenario.

Taxing Digital Services

6 bn

From Digital Services Tax

Big digital companies escape Corporate Income Taxes. International cooperation has so far failed to produce a collective response. Taxing 3 % of revenues from the digital sector serves as a temporary measure to capture the untaxed part of profits. Repealed once an international agreement is reached, the instrument signals the EU's position and pushes international partners to return to the negotiating table. France, Italy and Spain have already implemented such a tax, and more Member States plan to legislate on the issue, making the instrument technically prepared and politically ripe.

15%

On digital ads

Online advertising exploits users' cognitive biases in the pursuit of effectiveness, causing documented harms, particularly among young people, from mental health problems to misinformation and radicalisation. Economists, including Nobel laureates Daron Acemoglu and Simon Johnson, propose implementing a 50% excise tax to force a paradigm shift. An initial rate of 15% sends a strong signal, preparing industry players for a gradual increase.

A Moderate Wealth Tax

0.1%

to 0.5%

A moderate tax on the wealth of millionaires would address rising inequality with negligible effects on aggregate demand. The proposed rate goes from 0.1% for wealth above 1 million euros to 0.5% for wealth in excess of 100 million euros. We design it as a *one-off* levy, payable over thirty years, thus avoiding pitfalls that have historically undermined recurrent wealth taxes. Indeed, the tax would be owed based on wealth assessed on 1 January 2028, so it would not deter future investment. The tax can be paid in kind to prevent any liquidity issue.

26 bn

Per year

The tax schedule of our central scenario would raise €26 bn per year. While a wealth tax would require unanimity at the EU Council, it is supported by over 80% of Europeans. Although the tax would offer a new own resource, it is advisable to earmark its revenue for a European sovereign fund. Sized at 5% of EU GDP (twice the NGEU debt), the democratically managed fund would hold a diversified portfolio of equities, steer the ecological transition, and select strategic investments to strengthen Europe's future-preparedness.

A Luxury Excise Tax

20%
Extra rate on luxury goods

Economic analysis shows that luxury goods should be taxed at 42%, that is, a rate 20 percentage points above the current VAT rate. This VAT would apply uniformly to yachts, private jets, luxury cars, artwork, jewelry, luxury watches, bags and apparel, cruises, luxury hotels, fine wines and spirits, fine dining. Simultaneously, non-EU visitors will lose the VAT refund for their purchases of luxury goods in the EU. This tax would require unanimity at the EU Council, but is straightforward to implement since the administration already collects the VAT and categorizes goods.

40 bn
Per year

The tax would raise €40 bn per year, and could even be doubled or tripled since the 20% extra tax is computed using very conservative assumptions. The most affected sectors would be the German car industry, the French and Italian luxury sector, and the Mediterranean luxury tourism. Eastern Europe, Northern Europe, Germany and the Netherlands would contribute less than their GNI share to this extra tax, while a substantial share of the tax burden would fall on non-EU visitors. Countries that contribute a larger-than-average GNI share would benefit from increased revenue of domestic VAT thanks to the coordinated abolition of the VAT refund for non-EU visitors. Luxury goods are partly purchased to signal one's wealth, a motive that would play out with lower resource use if they are priced more. Plus, they confer status, which entails a negative externality onto others. While inequality should in principle be addressed via income taxes, tax competition among EU countries results in insufficient top tax rates. An EU-level tax on luxury goods is a second-best substitute for harder-to-harmonise EU income taxes. Taxing luxury also has the desirable property that it does not reduce philanthropy or investment.

A Financial Transactions Tax (FTT)

0.5%
Rate on equity transfers

The transfer of ownership of shares issued by companies incorporated in the EU would be taxed at 0.5% to fund EU own resources. The scope is deliberately narrow (covering only net transactions and exempting bonds, foreign exchanges and derivatives) to start with the easily implementable instrument. This leaves to later extensions the broader scope that triggered objections by Member States in a previous attempt (and aimed to raise €57 bn). While this tax requires unanimity at the EU Council, it does not cause economic distortions and is highly popular. Indeed, the burden of the tax would fall on (predominantly wealthy) stock owners. Given the exemption of intraday and derivative trading, it should be understood as a revenue-generating tax rather than an externality corrective.

8 bn
Per year

The tax and its rate mimic the UK stamp duty, which has collected steady revenue for over 300 years. It would collect €8 bn per year at the EU level at a low rate on a large and concentrated tax base. France, Italy, Spain, Belgium and Ireland already have similar instruments in place. They could offset the loss of their FTT revenue to the EU budget by either expanding the scope of their national tax or increasing the rate. Two countries stand out as main collectors of the FTT due to hosting companies with the highest market capitalisation: France and the Netherlands. However, taxpayers (the stock owners) are located worldwide.

The tax would reduce trading volume only moderately (by 10–20%). Empirical evidence shows no significant effects on market liquidity or volatility, nor on the cost of capital or the competitiveness of financial centres. A study of the French tax even finds a positive effect on corporate investment, since the tax induces a shift from short-term to longer-term stock ownership.

End the Aviation VAT Exemption

Table 1: Member State's contribution from the proposed new own resources in EUR millions.

Country	A 3% DST	15% Ad tax	0.5% FTT	Wealth tax	Aviation carbon tax	Luxury VAT
Austria	143	330	26.4	920	185.3	1,346.4
Belgium	201	184	61.1	722	187	1,332.8
Bulgaria	38	18	.2	40	45.9	217.6
Croatia	46	26	.3	36	64.6	312.8
Cyprus	16	17	.8	46	49.3	204
Czechia	178	263	3.8	348	74.8	625.6
Denmark	108	258	113.8	533	192.1	571.2
Estonia	23	21	.1	29	15.3	68
Finland	97	133	81.3	152	122.4	394.4
France	1,084	1,691	3,100	6,670	914.6	8,432
Germany	978	2,700	1,595.2	8,344	1,026.8	7,847.2
Greece	91	54	22.7	118	431.8	856.8
Hungary	140	113	5.9	208	62.9	340
Ireland	97	160	241.4	331	159.8	516.8
Italy	467	891	544.5	2,618	1,208.7	7,684
Latvia	27	20	0	20	30.6	68
Lithuania	41	24	.1	31	23.8	108.8
Luxembourg	10	32	0	208	35.7	244.8
Malta	7	10	0	9	45.9	122.4
Netherlands	333	652	1,961	913	336.6	1,496
Poland	497	427	63	560	202.3	1,088
Portugal	137	84	24.9	330	331.5	870.4
Romania	135	30	1.9	121	105.4	435.2
Slovakia	76	37	0	19	8.5	176.8
Slovenia	33	14	.4	75	5.1	149.6
Spain	687	830	240.6	2,151	1,586.1	4,202.4
Sweden	190	601	245.1	712	197.2	965.6
European Union	**5,880**	**9,616**	**8,334.6**	**26,264**	**7,650**	**40,677.6**

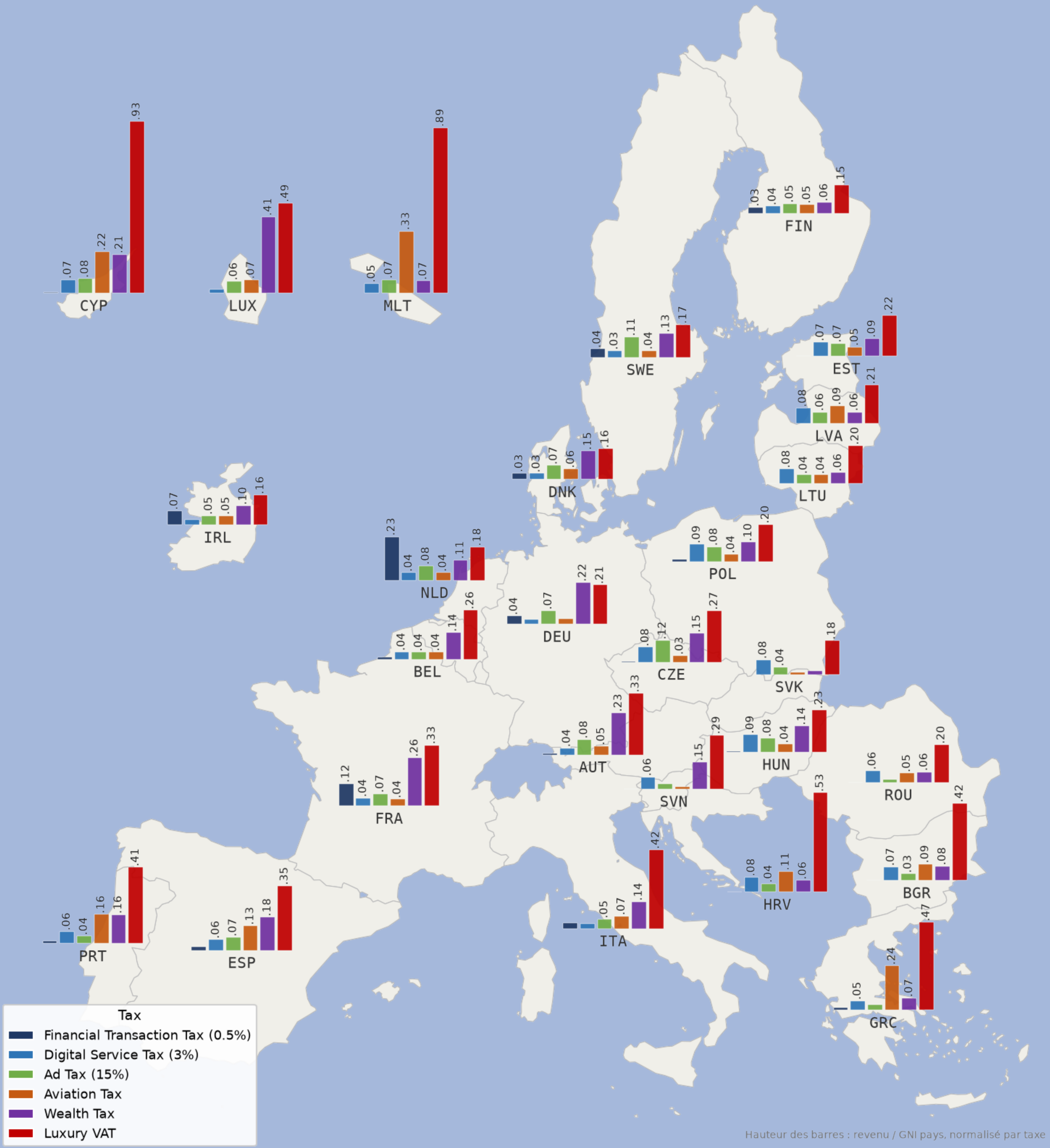
Table 2: Member State's contribution from the proposed new own resources relative to its GNI, expressed in parts per million.

Country	A 3% DST	15% Ad tax	0.5% FTT	Wealth tax	Aviation carbon tax	Luxury VAT
Austria	.035	.081	.006	.226	.045	.33
Belgium	.04	.036	.012	.142	.037	.263
Bulgaria	.073	.034	0	.076	.088	.416
Croatia	.079	.044	.001	.062	.11	.535
Cyprus	.073	.077	.004	.209	.224	.928
Czechia	.078	.116	.002	.153	.033	.275
Denmark	.031	.074	.033	.153	.055	.164
Estonia	.074	.068	0	.094	.05	.22
Finland	.038	.052	.032	.06	.048	.154
France	.042	.066	.12	.259	.036	.327
Germany	.026	.072	.043	.224	.028	.21
Greece	.05	.03	.013	.065	.239	.474
Hungary	.094	.076	.004	.14	.042	.228
Ireland	.03	.049	.075	.102	.049	.16
Italy	.026	.049	.03	.144	.067	.424
Latvia	.082	.06	0	.06	.093	.206
Lithuania	.076	.044	0	.057	.044	.201
Luxembourg	.02	.063	0	.412	.071	.485
Malta	.051	.073	0	.066	.335	.893
Netherlands	.04	.078	.234	.109	.04	.179
Poland	.091	.078	.011	.102	.037	.199
Portugal	.065	.04	.012	.156	.156	.411
Romania	.063	.014	.001	.056	.049	.202
Slovakia	.078	.038	0	.02	.009	.182
Slovenia	.064	.027	.001	.146	.01	.291
Spain	.057	.068	.02	.177	.131	.346
Sweden	.034	.109	.044	.129	.036	.175

Table 3: Net gain for each Member State's budget of our proposed deal vs. the status quo.

Country	6 NOR scenario	Status-quo scenario
Austria	1,143.64	-672.5
Belgium	1,485.8	-835.67
Bulgaria	159.71	-86.28
Croatia	178.41	-96.38
Cyprus	67.1	-36.25
Czechia	694.4	-375.13
Denmark	1,062.98	-574.25
Estonia	94.28	-50.93
Finland	779.33	-421.01
France	3,672.21	-4,244.1
Germany	11,379.92	-6,147.7
Greece	529.23	-298.16
Hungary	454.42	-245.49
Ireland	745.65	-533.23
Italy	4,523.55	-2,990.16
Latvia	100.92	-54.52
Lithuania	164.82	-89.04
Luxembourg	154	-83.19
Malta	41.84	-22.6
Netherlands	2,554.44	-1,379.97
Poland	1,671.86	-903.18
Portugal	646.5	-349.25
Romania	656.99	-354.92
Slovakia	296.89	-160.39
Slovenia	157.05	-84.84
Spain	2,774.2	-1,999.79
Sweden	1,686.46	-911.07
European Union	**37,876.58**	**-24,000**

We compute, for each Member State the reduction in the GNI contribution and the share corresponding to the additional EU budget that could otherwise have been spent domestically minus eventual transfers of existing revenues to UE. The other status quo scenario accounts for the increased GNI contributions needed to make the minimum payments towards NextGenerationEU.



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GRC
Tax
Financial Transaction Tax (0.5%)
Digital Service Tax (3%)
Ad Tax (15%)
Aviation Tax
Wealth Tax
Luxury VAT
Hauteur des barres : revenu / GNI pays, normalisé par taxe